POLBUD CASE

ECJEU

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FREEDOM OF ESTABLISHMENT (Art. 49 TFEU)

- *restrictions on the freedom of establishment of nationals of a Member State in the territory of another Member State shall be prohibited. Such prohibition shall also apply to restrictions on the setting-up of agencies, branches or subsidiaries by nationals of any Member State established in the territory of any Member State.*

- Freedom *of establishment shall include the right to take up and pursue activities as self-employed persons and to set up and manage undertakings, in particular companies or firms within the meaning of the second paragraph of Article 54, under the conditions laid down for its own nationals by the law of the country where such establishment is effected*.

Polbud case touched the interpretation of the freedom of establishment.
→ cross-border conversions from Poland to Luxembourg while keeping the existing legal personality

THE CASE: HOW IT STARTED

30/09/2011
POLBUD extraordinary general meeting of shareholders decided to relocate the company's registered office to Luxembourg

POLISH LAW to relocate registered office

"The Companies Code, article 270 and 272"

Decision of shareholders to transfer registered office, confirmed by notary

➡ POLBUD SHALL BE WOUND UP

WINDING UP:

1^ Liquidation process

2^ Removed from the register

LIQUIDATION PROCESS

- conclusion of current business
- recovery of debts
- performance of obligations and sale of company assets
- satisfaction or securing of creditors
- submission of a financial statement on the conduct of that process and indication of the person to whom the books and document are to be entrusted

THE CASE: continuation

- **19/10/2011** – Polbud initiated a liquidation procedure
- **26/10/2011** – the commencement of the liquidation process was officially recorded and a liquidator was appointed
- **28/03/2013** – Polbud's registered office was relocated to Luxembourg, and the company's name was changed from Polbud to Consoil Geotechnik
- **24/06/2013** – Polbud submitted an application for removal from the Polish register

WHY WAS THE CASE OPENED?

1^ **POLISH REGISTRY COURT**	requested Polbud to bring documents mandated for company wind-up proceedings
2^ **POLBUD**	contended that these documents were unnecessary → merely relocating and not really liquidating → did not produce them
3^ **POLISH REGISTRY COURT**	19/09/2013 declined the removal application due to non-compliance with legal statutes 270 and 272

POLBUDS' 1^ ARGUMENT:

Article 19(1) of the Ustawa — Prawo prywatne mięzynarodowe (Law on Private International Law) of 4 February 2011 (Dz. U. No 80, position 432)

'**Upon transfer** of its head office to another State, a legal person shall be **subject to the law of that State.**
The legal personality acquired in the State where it previously had its head office shall be retained, if the law of each of the States concerned so provides. Transfer of the head office within the European Economic Area shall not lead to the loss of legal personality.'

TRANSFER of register office to Luxembourg

➡ Polbud change from Polish law-incorporated company to a Luxembourg law-incorporated entity.

➡ adherence to Polish law no longer needed

Accordingly, the liquidation proceedings should have been terminated, and Polbud should have been delisted from the commercial register.

POLBUDS' 2^ ARGUMENT

It is **unfeasible to adhere to Polish liquidation procedures** in this situation, as the company is not in truth winding up; rather, it is merely relocating its registered office overseas.

Remember:

- *conclusion of current business*
- *recovery of debts*
- *performance of obligations and sale of company assets*
- *satisfaction or securing of creditors*
- *submission of a financial statement on the conduct of that process and indication of the person to whom the books and document are to be entrusted*

REFERRING COURT QUESTIONS EU

FIRST QUESTION

Do Art 49 and 59 TFEU preclude the application of the polish national law on a company wishing the transfer of registered office? In other terms, is there a restriction to freedom of establishment?

ANSWER

1^ consideration

International private law is respected in the Polish legislation → can transfer registered office maintaining legal personality

2^ consideration

Polish legislation is LIABLE to impede or even PREVENT the cross-border conversion of a company, because of its strict procedure, requiring the liquidation of the company first

POLISH LAW CAUSES A RESTRICTION OF THE FREEDOM OF ESTABLISHMENT

REFERRING COURT QUESTIONS EU

SECOND QUESTION

If there is a restriction of establishment due to the law requiring liquidation first, winding up after, is it then appropriate, necessary and proportionate to the protection of a public interest? Can it be justified?

ANSWER

1^ consideration

RESTRICTION IS JUSTIFIED: Objective of protecting the interests of creditors, minority shareholders and employees of the company transferred

2^ consideration

POLISH LAW WENT BEYOND WHAT'S NECESSARY

Why? Because liquidation is mandatory, there is no other less restrictive measure made available.
And the mandatory liquidation establishes a general presumption of the existence of abuse of the national legislation

REFERRING COURT QUESTIONS EU

THIRD QUESTION

Are ART 49 and 59 of TFEU also applicable to restrictions of transfer of the register office of a company incorporated under the law of one MS to another MS, when the main real head office location is not changed?

ANSWER

1^ consideration

"Art 49 + 54 extends the benefit of freedom of establishment to companies or firms formed in accordance with the legislation of a member state and having their registered office, their central administration or principal place of business within the European Union. Accordingly, a company such as Polbud, which was formed in accordance with the legislation of a Member State, in this case, with Polish legislation, may, in principle, rely on that freedom."

⇒ Polbud can has the right of freedom of establishment

2^ consideration

applicability of the freedom of establishment, does not mean that a MS can not adopt measures in order to prevent attempts by its nationals to evade domestic legislation.(--> Centros case) The desire of a company to enjoy the benefits of a more favorable legislation does not constitute abuse and evasion of domestic legislation.

Summary of contributing cases:

Centros Ltd v. Erhvervs- og Selskabsstyrelsen (1999)
Key points: established the principle of freedom of establishment, allowing companies to set up branches or subsidiaries in EU member states without being subjected to any restrictions.

Inspire Art Ltd v. The Baltic Shipping Company (2007):
Key points: clarified that the freedom of establishment principle includes the right of a company to transfer its seat from one EU member state to another.

Cartesio (2008)
Key points: underlined that a company registered in compliance with the laws of one EU member state cannot be denied the right to move its registered office to another member state where it wishes to establish its principal place of business.
Additionally it established that national laws imposing a mandatory liquidation procedure as a condition for transferring a company's seat to another member state are in violation of the freedom of establishment.

Summary of contributing cases:

National Grid Indus Case 2011

Key points: This case reaffirmed that Nations can not take measures for the protection of public interest that are so restrictive to make the exercise of Freedom of establishment less attractive.

Aget Iraklis 2016

This case clarified that Member States can take measure having the aim of protecting the interests of creditors, minority shareholders and employees when there is the transfer of the registered office, but must not go beyond what is necessary.

CENTROS 1999

*Summary

2 Danish people established a company under UK legislation to avoid Denmark's higher minimum capital requirements for Danish limited liability com and want to establish a branch in Denmark. But Denmark refused

CJEU, while upholding the company's right to move its seat, acknowledged that national laws could impose restrictions to prevent abuse of the freedom of establishment

Centros judgment reaffirmed the right for a company to establish itself in the desired MS, to take advantage of more favorable regulations. Also freedom of establishment applies also on cases where the registered office state is different from the State where the activity is carried.

Polbud can take advantage of the Freedom of establishment as well.
In both cases Nations are allowed to adopt measures to prevent abuse on domestic legislation, in a proportionate way.

CARTESIO 2008

*Summary

An hungarian company, Cartesio, wants to transfer its operational headquarters from Hungary to Italy, but wants still to be governed by Hungarian law and to keep its legal status.

The Hungarian Commercial Court refused to enter the new Italian address on the local register and held that if a company wishes to transfer its operational headquarters to another EU Member State, it must first wound up in Hungary

CJEU stated both in Polbud case and Cartesio case that MS can impose limitation to freedom of establishment.
But the requirement of liquidation before cross-border conversion is considered too strict and therefore not acceptable.

It also emerged that there is no need to change nationality during cross-borders.

NATIONAL GRID INDUS CASE 2011

*Summary

Danish law→ exit taxes
Polis law → winding up
both are restrictions

Danish law: exit tax on unrealised capital gains when a company transfers its seat to another MS

ECJEU deemed this decision incompatible with the freedom of establishment principle

This judgment further strengthened the principle that companies should be able to move their seats within the EU without undue restrictions from national law.

Both cases address the extent to which national laws can restrict a company's ability to transfer its seat or registered office to another Member State without losing its original nationality.

AGET IRAKLIS 2016

*Summary

Greek law→ authorization to protect workers
Polis law → winding up to protect stakeholders
both went beyond what's necessary

Greek law: required prior administrative authorization for collective redundancies aim of protecting workers' rights

COMPATIBLE with EU because legitimate aim BUT went beyond what's necessary

Both cases underscore the CJEU's nuanced approach to reconciling the freedom of establishment with the protection of workers' rights. While companies enjoy the right to move their seats across borders, national laws can impose proportionate safeguards to ensure that workers' interests are not compromised in the process.

WE ARE AVAILABLE TO ANSWER YOUR QUESTIONS

THANK YOU FOR YOUR ATTENTION

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